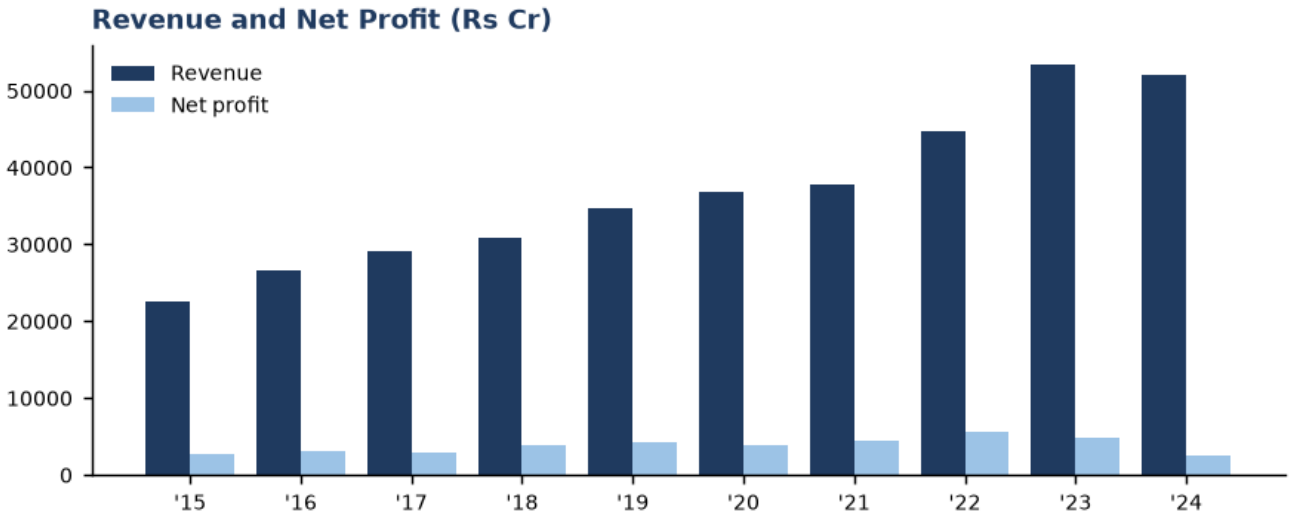
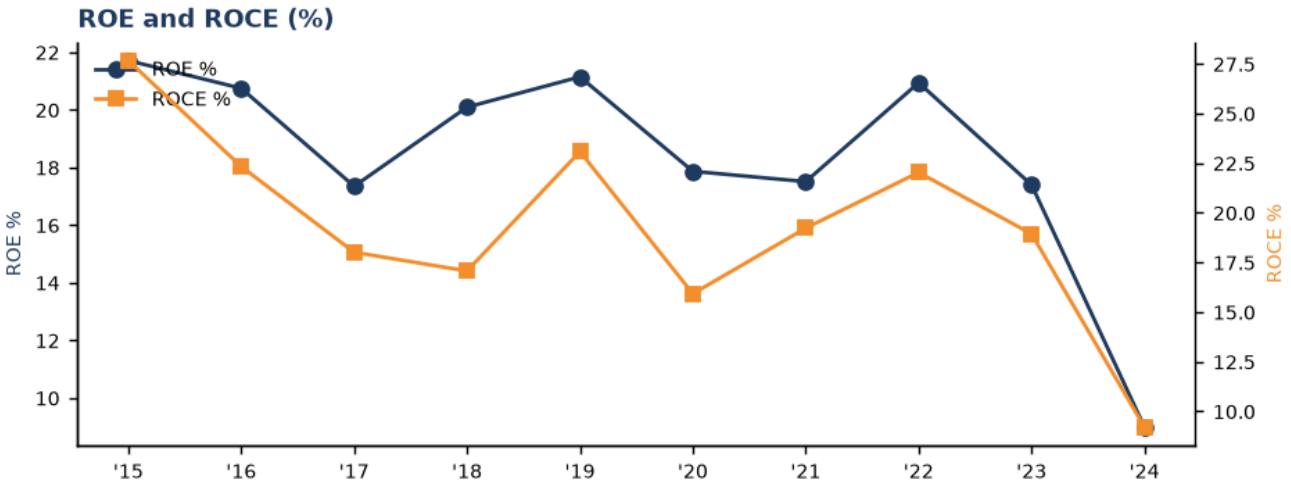
Tech Mahindra Ltd

TECHM | Information Technology | IT Services | Latest financial year: 2024-03

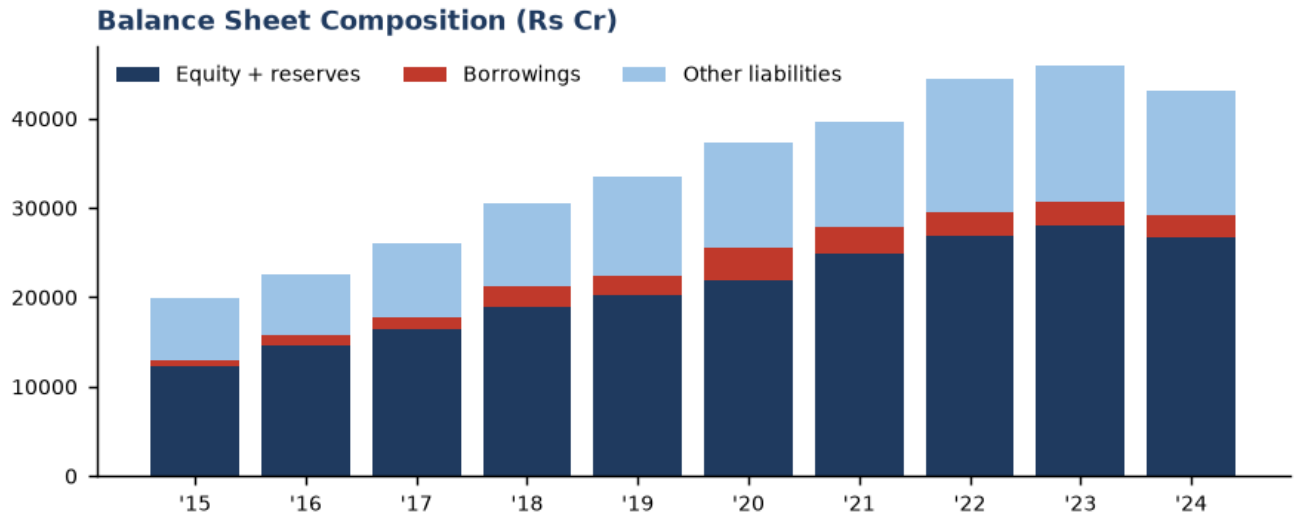
ROE	ROCE	Net profit margin
9.0%	**9.2%**	**4.6%**
Debt / equity	**Revenue CAGR 5yr**	**Free cash flow (Rs Cr)**
0.10	**8.4%**	**5,058**

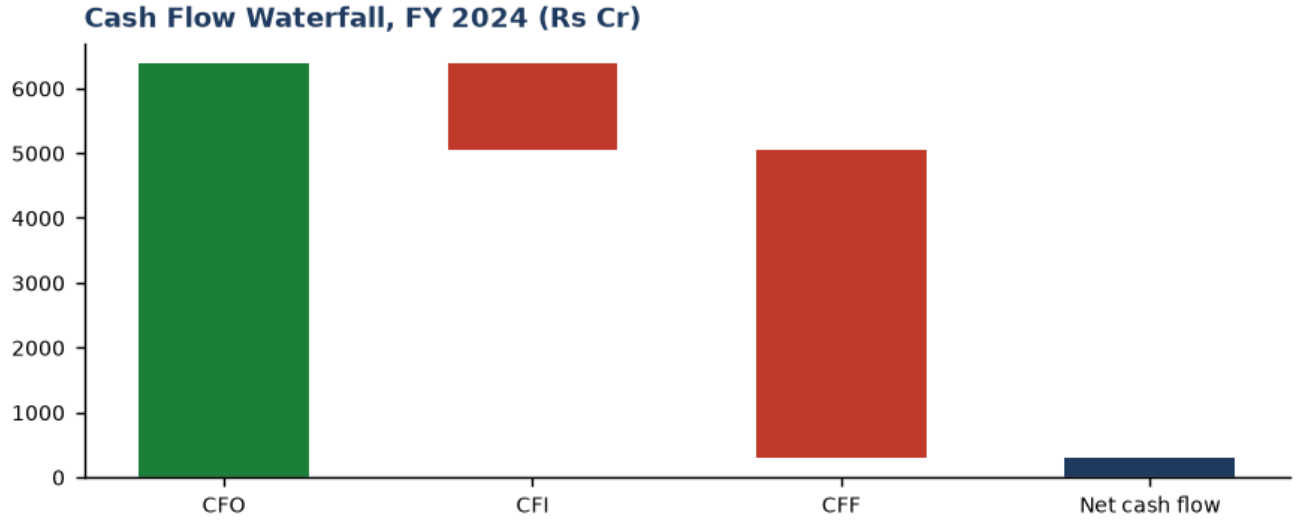




Tech Mahindra Ltd

TECHM | Balance sheet, cash flow and qualitative view





Key strengths and concerns (auto-generated, with confidence)

Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals (89%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (68%)

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (80%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (63%)

Capital allocation: Shareholder Returns

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is simulated.